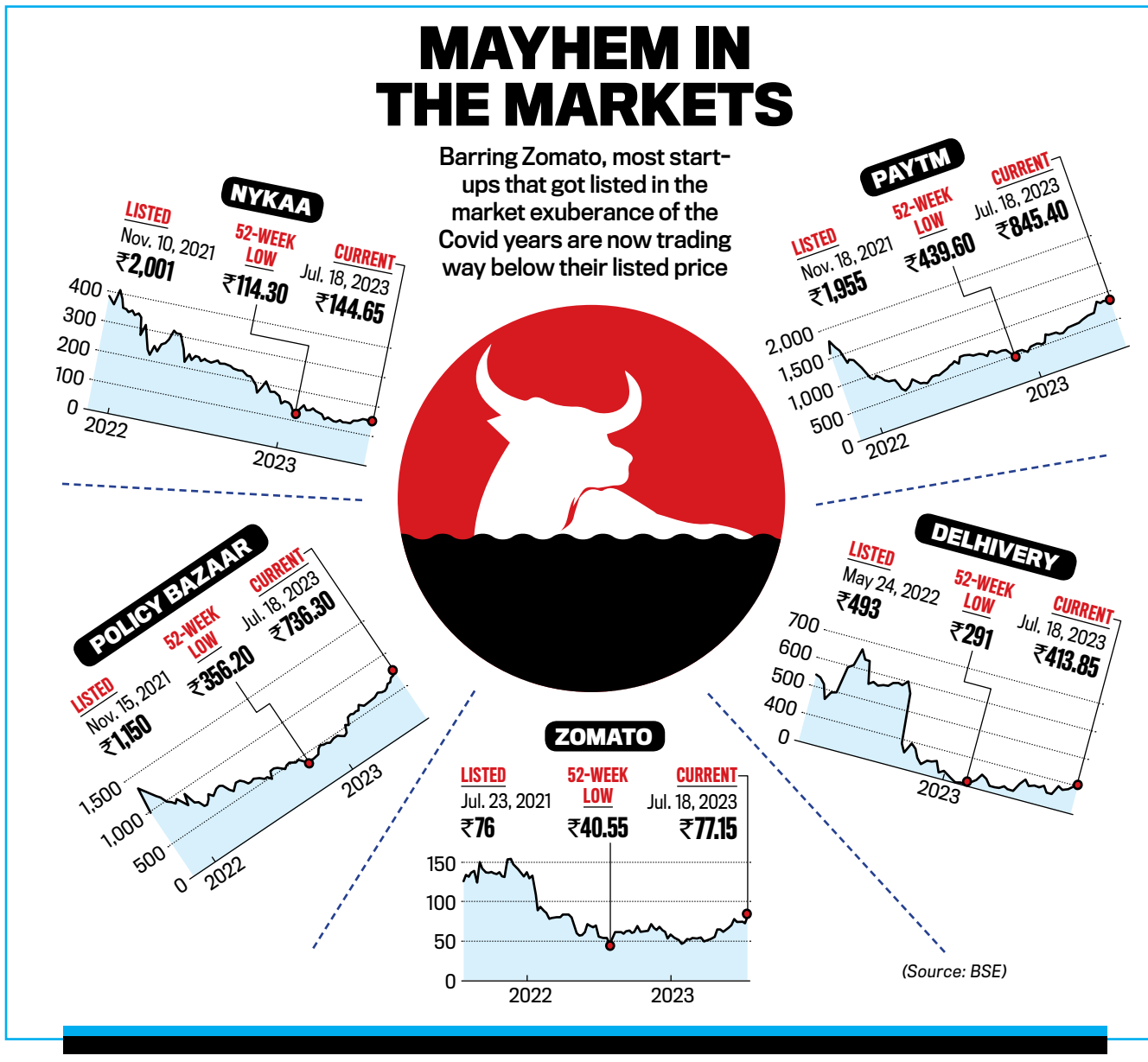


Graphics by **TANMOY CHAKRABORTY**

tion), announced that about 5 per cent or 2,500 of its staff would be laid off starting October 2022 in a bid to become profitable by March 2023. In June, it laid off another 1,000 as part of a "restructuring process". The firm employs 50,000 people.

Meanwhile, there has been a significant markdown in valuations. In June this year, Prosus, the biggest investor shareholder in Byju's, cut its valuations by over 75 per cent—from $22 billion to $5.1 billion (Rs 1.8 lakh crore to Rs 41,820 crore). Invesco brought down Swiggy's valuation from $10.7 billion (Rs 87,778 crore) to $5.5 billion (Rs 45,105 crore), say media reports. Vanguard of the US trimmed ride-hailing start-up Ola's valuation by about 35 per cent to $4.8 billion (Rs 39,365 crore), while financial services start-up Pine Labs saw a 40 per cent drop in its valuation to $3.1 billion (Rs 25,423 crore) by Neuberger Berman, yet another US investment manager. British-American asset management firm Janus Henderson halved healthcare start-up PharmEasy's valuation to $2.8 billion (Rs 22,963 crore).



"LOOKING BACK, SHOULD I HAVE CHASED VALUATIONS THE WAY I DID? PROBABLY NOT! BUT IT DID TEACH ME A LOT OF THINGS"

–GAURAV MUNJAL
Co-founder, Unacademy

THE RISE AND FALL

From such promising heights, how did start-ups crashland like this? The start-up boom in 2020-21 came at the height of the Covid pandemic when there was an unprecedented boom in demand for online firms in several services such as education, food, entertainment, life-